



Public Competition Assessment

17 October 2006

Britax Childcare Pty Ltd - proposed acquisition of BabyLove Products Pty Ltd

Introduction

1. On 20 September 2006, the Australian Competition and Consumer Commission (the **ACCC**) announced its decision to not oppose the proposed acquisition of BabyLove Products Pty Ltd by Britax Childcare Pty Ltd (**Proposed Acquisition**). The ACCC decided that the Proposed Acquisition would not have the effect, or be likely to have the effect, of substantially lessening competition in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**) in the markets for the manufacture and supply of child car restraints and booster seats in Australia, or the market for the supply of infant wheeled goods (strollers and prams) in Australia.
2. The ACCC made its decision on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed transaction, subject to confidentiality considerations.

Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
 - a merger is rejected;
 - a merger is subject to enforceable undertakings;
 - the merger parties seek such disclosure; or
 - a merger is approved but raises important issues that the ACCC considers should be made public.
4. In this case, the ACCC considers the merger raises important issues, given the high level of market concentration in the manufacture and supply of child car restraints.
5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.
7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern. Accordingly, a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

The parties

The acquirer: Britax Childcare Pty Ltd

8. In Australia, Britax Childcare Pty Ltd (**Britax**) manufactures child car restraints at its production facility in Victoria and distributes these throughout Australia through a range of non-aligned retailers. In addition, Britax imports and distributes infant wheeled goods (strollers and prams) onto the Australian market. Approximately 80 per cent of the Britax business is child car restraints and the remainder primarily infant wheeled goods.

The target: BabyLove Products Pty Ltd

9. BabyLove Products Pty Ltd (**BabyLove**) specialises in the manufacture and distribution of child car restraints. It also imports and distributes a number of nursery products, including infant wheeled goods. Approximately 40 per cent of the BabyLove business is child car restraints and the remainder primarily infant wheeled goods.

Market background

10. There are currently four suppliers of child car restraints in Australia: Britax, BabyLove, In Good Care (**IGC**) and Infa Products. Britax is the largest manufacturer with over half of national production. IGC and BabyLove are the second and third largest manufacturers respectively. Restraints are sold via retailers. The major department stores account for the majority of sales, with the remainder of sales split between major independent chains and smaller independent retailers.
11. There are five main types of child car restraints:
 - the infant restraint or capsule - suitable for ages up to six months old (type A restraint);

- the forward facing child car restraint - suitable for those aged six months to four years old (type B restraint);
 - the convertible child restraint - suitable for ages up to four years old (type AB restraint). A hybrid of types A and B, which can operate as a capsule or a forward facing restraint for older children;
 - the convertible booster seat - suitable for those aged six months to seven years old (type BE restraint); and
 - the booster seat - suitable for those aged three to seven years old (type E restraint).
12. Britax supplies all five types of restraints, while BabyLove supplies all types except the type BE restraint. While there are five main types of child car restraints, two types, type AB and type E, account for the vast majority of sales.
13. All child car restraints sold in Australia must comply with regulatory (product safety) standards. Since Australian product safety standards (**Australian Standards**) are set significantly higher than comparable countries, this increases the cost of imports (through modification, testing and certification costs).
14. In relation to infant wheeled goods, available information has indicated that there is an extremely high level of import penetration, with over 95 per cent of all products sold being imported. There are a relatively large number of suppliers, including Britax and BabyLove.

Timing

15. The following table outlines the timeline of key events in this matter.

Date	Event
1st May 2006	ACCC commences review under the Merger Review Process Guidelines
5th May 2006	ACCC commences market inquiries
19th May 2006	Closing date for submissions from interested parties
20th June 2006	Proposed announcement of ACCC's findings
21st June 2006	Proposed announcement delayed until early July to allow for provision of additional information. Timeline suspended
6th July 2006	Proposed announcement delayed until mid July to allow for provision of additional information
11th July 2006	Proposed announcement delayed until late July (delay requested by merger parties to allow for provision of additional information)
19th July 2006	Additional material received from merger parties. Timeline recommenced
27th July 2006	ACCC publishes a Statement of Issues outlining preliminary competition concerns
10th August 2006	Closing date for submissions from interested parties responding to the ACCC's Statement of Issues
30th August 2006	Proposed announcement of ACCC's findings delayed to allow for further inquiries
20th Sept 2006	ACCC announced that it would not oppose the acquisition

Market inquiries

16. The ACCC conducted market inquiries with a range of industry participants, including competitors, customers, relevant industry and consumer associations, other regulatory agencies and other interested parties. Submissions were sought in relation to the substantive competition issues and the preliminary competition concerns raised in the Statement of Issues.

Statement of Issues

17. The ACCC published its Statement of Issues on 27 July 2006, identifying a number of competition concerns. In its Statement of Issues, the ACCC stated its preliminary view that the Proposed Acquisition would be likely to lead to a substantial lessening of competition in the markets for the manufacture and supply of child car restraints in Australia as a result of the following issues of concern:
 - the transaction would significantly increase concentration in the manufacture and supply of child car restraints in Australia;
 - imports of child car restraints appeared unlikely to constrain the merged entity;
 - barriers to entry (or expansion) for child car restraints appeared high; and
 - countervailing power for both retailers and consumers of child car restraints appeared limited.
18. The ACCC sought submissions from market participants on each of the issues that were raised in the Statement of Issues and any other issues that participants considered relevant to the ACCC's assessment of the matter.

Market One: Child car restraints

Market definition

19. The ACCC's inquiries revealed that there is clearly a degree of demand substitutability between some of the types of child car restraints e.g. between types A and AB, and B and AB. However, there is very limited substitutability between the two main restraints: type AB and E restraints. The former is manufactured for ages up to four years old and the latter is manufactured for ages three to seven years old. Similarly, supply substitutability does not extend across the entire spectrum from type A to type E child car restraints.
20. In defining the relevant markets, the ACCC adopted a purposive approach. Type AB and E restraints account for the vast majority of sales by volume and value, and also represent the areas where the ACCC would most likely be concerned about an increase in concentration of market share. As noted above, there is also very limited substitutability between type AB and E restraints.
21. As a result, the ACCC focussed on type AB and E restraints and considered the competitive constraints on the merged entity in setting prices and quality of these

particular restraints. Therefore, the ACCC considered that the following two markets were relevant in this matter:

- the Australian market for the manufacture and supply of child car restraints for ages up to 3 to 4 years old - type A, type B and type AB restraints; and
- the Australian market for the manufacture and supply of child booster seats for ages 3 to 7 years old - type BE and type E restraints.

22. Market inquiries indicated that in addition to purchasing new products, there are two other sources of supply: rental and second-hand purchases. It was therefore necessary to consider whether rented and second hand child car restraints acted as a constraint on the pricing decisions of suppliers of new restraints in both markets. The ACCC's inquiries revealed that restraints obtained through these avenues make up under a quarter of child car restraints obtained each year. In addition, the buying public is extremely well informed on child safety and technological development issues. Given an ongoing process of revisions to and strengthening of Australian Standards, it appeared that rented and second-hand restraints do not significantly constrain the prices of new child car restraints. Accordingly, these sources of child car restraints were not considered further in the analysis.
23. The ACCC also found that for each of the two markets outlined above, there were distinct high, medium and low segments:
- the high-end segment covers the restraints which retail for higher prices and tend to be distributed, for example, by independent retailers and premium retailers such as David Jones. The high end of the market includes restraints that are differentiated in terms of their better finish and additional accessories.
 - the low-end segment covers the restraints which retail for lower prices and tend to be sold solely by the mass market department stores.
 - the mid-end segment covers the price ranges where both the independent retailers and the mass market department stores compete, and prices overlap.
24. Market participants advised that the different suppliers have adopted different strategies in relation to these market segments. Britax (via their Safe n Sound brand) have traditionally focussed more heavily on sales to the mid to high end of the two markets, but have recently introduced new brands to compete more strongly in the low end segment. BabyLove has traditionally been strongest in the low and mid-end segments, but has expanded in recent times to have a limited presence in the high end segment. In contrast, both IGC and Infa Products concentrate on sales to the low and mid-end segments of the two markets.

Competition analysis

25. The ACCC's investigation of the Proposed Acquisition focused on the high end segment of the two markets, given Britax's greater presence in this segment, and evidence of higher barriers to entry.

Market concentration

26. The ACCC's inquiries revealed that the two markets are highly concentrated. Post-acquisition, there would only be two competitors with the merged firm: IGC and Infa Products. Britax is the dominant player in both markets, and its dominance is particularly strong at the high end of both markets, with over 90 per cent of total sales by volume and value. The ACCC found that BabyLove was not a significant competitor in this segment, with a very small market share. Post acquisition, the merged firm would account for over 95 per cent of sales in the high end segment across both markets.
27. In contrast, there is greater competition for market share at the low end of the two markets where IGC, in particular, is a significant competitor.

Actual and potential import competition

28. As noted earlier, Australian Standards are set significantly higher than comparable countries. While this does not present an insurmountable barrier to entry, it increases the cost of imports (through modification, testing and certification costs). This is particularly the case for the national market for child car restraints for ages up to 3 to 4 years old (type A, type B and type AB restraints). While there has been some supply of imported restraints in Australia, they make up a relatively small proportion of supply. As a result, the ACCC formed the view that imports are only likely to provide a limited competitive constraint on the merged firm from increasing prices above competitive levels in this market.
29. The situation is different in the national market for child booster seats for ages 3 to 7 years old (type BE and type E restraints). Information before the ACCC indicated that the main product sold in this market, the type E booster seat, is not a complex product, and import modification, testing and certification costs are relatively low. Therefore, the ACCC concluded that the threat of imports is likely to be a significant constraint on the merged firm in this particular market.

Barriers to entry and expansion

30. The ACCC considered that the threat of potential new entry would only be likely to provide a limited competitive constraint on the merged firm within the foreseeable future.
31. Information before the ACCC indicated that the combination of substantial sunk costs, the small size of both child car restraint markets, limited capacity for growth and the unique Australian Standards all act as disincentives for entry in the national market for child car restraints for ages up to 3 to 4 years old (type A, type B and type AB restraints). Further, the minimum efficient scale is relatively high. A new entrant would need significant financial backing, given the likelihood of taking 4-5 years to reach the minimum efficient scale.
32. New entrants face greater barriers at the mid and high-end of this market. The ACCC's inquiries indicated that because child car restraints are a safety product, brand is significant. The ACCC focussed closely on this issue during its investigation. Britax's Safe n Sound brand has a high degree of brand loyalty which has been established over a long period of time. The ACCC considers that

brand loyalty would make it difficult to capture market share from Britax and may deter entry.

33. Barriers to entry and expansion are not as significant in the national market for child booster seats for ages 3 to 7 years old (type BE and type E restraints). There is less brand loyalty as the product sold is less complex and expensive. There is also greater potential for import competition in this market.

Countervailing power

34. During the ACCC's inquiries it became evident that retailers have a significant level of countervailing power at the lower and mid end of the two markets, the segments in which the mass market department stores (for example, Target, Kmart and Big W) operate. The mass market department stores are in a position to offer national deals and volume commitments which provide them with significant bargaining power. In addition, suppliers cannot rely as heavily on brand loyalty to guarantee them floor space and market share in these market segments. In the event that the merged entity raised its prices above competitive levels, these retailers could sponsor new entry.
35. In relation to the high end of the national market for child car restraints for ages up to 3 to 4 years old (type A, type B and type AB restraints), the ACCC's inquiries indicated that independent retailers and consumers have more limited countervailing power, particularly given the substantial brand loyalty for Britax's Safe n Sound restraints. Small independent retailers would be most affected, as a child car restraint is a necessary stock item. Retailers are also unlikely to be in a position to sponsor entry.

Vigorous and effective competitor

36. BabyLove is a relatively recent entrant to the high end of the two markets. The ACCC's investigation confirmed that while BabyLove is the largest competitor to Britax in this segment, it nonetheless has a very small market share. Further, BabyLove has not proved an effective constraint on Britax in the high end of the market. This situation appears unlikely to change in the foreseeable future. In the mid and lower segments of the two markets, BabyLove is a stronger competitor. However, as noted earlier, there is greater competition in these segments and greater potential for new entry.
37. In the key segment of concern, the high end of the two markets, the ACCC considered that the Proposed Acquisition was unlikely to result in the removal of a vigorous and effective competitor.

Prices and profit margins

38. The ACCC's inquiries indicated that BabyLove's relatively recent expansion into the high end of the two markets has not led to a reduction in prices or improved quality of child car restraints. Britax has retained its dominant position in this segment given its strong brand loyalty and reputation for quality.
39. In the mid and low end segments of the two markets, the factors outlined earlier are likely to continue to constrain the merged firm from increasing prices above competitive levels. These factors include greater competition for market share,

the stronger countervailing power of large retail chains and reduced significance of barriers to entry such as brand loyalty.

40. The ACCC considered that the Proposed Acquisition would be unlikely to provide the merged firm with the ability to unilaterally increase its prices or decrease the quality of its products.

Market Two: Infant Wheeled Goods

Market definition

41. Market participants did not focus heavily on this area in their submissions. The ACCC was not aware of any arguments not to include all infant wheeled goods as part of a single market, and concluded that there was a national market for infant wheeled goods.

Competition analysis

Market concentration

42. The ACCC found that there was significant competition for market share in the national market for the supply of infant wheeled goods. Post-acquisition, the merged firm would hold a significant market share. However there would be a number of other firms with a substantial market share, relatively close to the merged firm in terms of sales.
43. As noted earlier, most infant wheeled goods sold in Australia are imported. Taking this fact and the larger number of competitors into account, the ACCC concluded that there were no major competition concerns in relation to this market. As a result, no further analysis of this market was undertaken.

Conclusion

44. On the basis of the above, the ACCC decided that the Proposed Acquisition of BabyLove Products Pty Ltd by Britax Childcare Pty Ltd would not be likely to result in a substantial lessening of competition in contravention of section 50 of the Act in the Australian market for the manufacture and supply of child car restraints (type A, type B and type AB restraints), the Australian market for the manufacture and supply of child booster seats (type BE and type E restraints), and the market for the supply of infant wheeled goods in Australia.